UAWs like the Normans find it degrading to even think about shopping for a used car. To them, a used car is out of the question. Their neighbor, Dr. Bill, never felt degraded shopping for quality used cars. In fact, acquiring used “cream puffs” gives him great satisfaction. Over the years, he figures that he has saved enough buying used over new to completely fund one of his children’s college and graduate school tuitions.

Where did Dr. Bill buy his latest motor vehicle, a three-year-old BMW 5 series? From Gary, a high-income, hyperconsuming sales professional employed in the high-tech field. Gary buys only new foreign motor vehicles. If Gary is like most UAWs, he firmly believes that the buyer of his old 5 series BMW is not as financially well off as he. This is one of the tell-tale symptoms of being a UAW. UAWs usually think they have more wealth than their neighbors. Many UAWs also believe that people drive the best they can afford.

Think of this situation in another way. Gary, the under accumulator of wealth, is subsidizing Dr. Bill’s motor vehicle purchases. Gary takes the brunt of the three-year depreciation and then transfers title of a fine automobile to Dr. Bill, the frugal millionaire. Also, since Gary is anemployee, he cannot write off depreciation against his income tax liability. In addition, Gary has no friends, relatives, or clients in the motor vehicle business. He gets no tax write-offs, no super discounts from an uncle or aunt who owns a dealership, and no reciprocity from a client/customer who is in the automobile business. He consumes motor vehicles purely for pleasure.

What should Gary, Mr. Norman, and others of the UAW variety know? That they spend more for motor vehicles than the typical American millionaire. Gary’s earned income is equal to that of many millionaires, yet Gary isn’t a millionaire. Perhaps he compensates for this through his heavy consumption of status products. Is he trying to emulate the driving and buying habits of the chairman of the company that employs him? But the chairman is a millionaire and owns equity in the corporation. Unlike Gary, he never purchased an expensive automobile until after he was wealthy. Instead, he put much of his income back into the company via stock purchases. In contrast, Gary makes his expensive purchases in anticipation of becoming wealthy. But that day is unlikely to ever arrive.

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* We use the term motor vehicles to include sports utility vehicles, pickups, and so on as well as cars.